



MTN Nigeria Communications Plc

Financial results for the half year ended
30 June 2026





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Lagos | Nigeria: 30 July 2026

MTN Nigeria Communications Plc announces its financial results for the half year ended 30 June 2026.

Salient points

Commercial momentum

- Total subscribers up 8.9% to 92.2 million
- Active data users up 9.3% to 55.7 million

Revenue and profitability

- Service revenue up 25.9% to N3.0 trillion
- EBITDA up 39.2% to N1.7 trillion
- EBITDA margin up 5.3pp to 55.9%
- PAT up 70.6% to N707.5 billion
- EPS up 70.6% to N33.7

Investment, cash flow and returns

- Capex, excluding leases, up by 1.2% to N620.5 billion with a capex intensity of 20.7%
- Free cash flow of N712.7 billion, up 73.9%
- Interim dividend of N26 per share

Unless otherwise stated, financial and non-financial information is year-on-year (YoY, H1 2026 versus H1 2025).

EBITDA – earnings before interest, tax, depreciation and amortisation

pp – percentage points | PAT – profit after tax | EPS – earnings per share | Capex – capital expenditure

Free cash flow – EBITDA less cash-related capex and accounting for working capital movements, income tax and interest paid

Subscribers exclude non-revenue-generating customers whose activity is limited to receiving incoming on-net voice calls and SMS, and using free data

CEO Commentary

Karl Toriola, Chief Executive Officer, said: “We delivered a strong first-half performance, with sustained commercial momentum, improved profitability and robust cash generation. This reflects the resilience of demand for our services, disciplined execution across the business and continued focus on efficiency in a challenging operating environment.

The macroeconomic backdrop remained complex, with elevated geopolitical tensions continuing to influence global energy markets and inflationary trends. Encouragingly, the naira was stronger and relatively more stable during the period, closing at N1,380/US\$ at the end of H1 2026 (H1 2025: N1,530/US\$). This supported better planning visibility and helped moderate some cost pressures.



Commercial momentum remained strong, with 4.9 million net additions in H1 lifting our subscriber base to 92.2 million, while active data users increased by 2.5 million to 55.7 million. This reflects stronger customer engagement, sustained demand for data-rich services and continued smartphone adoption.

Service revenue increased by 25.9%, ahead of our medium-term guidance of at least low-20% growth and 10.4pp above the average inflation rate in H1. Growth moderated in Q2, primarily reflecting the full annualisation of prior price adjustments and, to a lesser extent, the temporary suspension of our airtime and data credit service, which impacted fintech revenue during the quarter. Service revenue growth excluding airtime and data credit service was 27.3% in H1, demonstrating the strength of our core business and the resilience of customer demand.

Our financial performance reflects the strength of the topline and the discipline with which we managed costs. Despite energy cost-related pressures, we continued to invest in our network while containing opex growth at 11.3%, expanding EBITDA margin by 5.3pp to 55.9% and delivering a 70.6% growth in PAT.

We invested N620.5 billion in capex, excluding leases, to strengthen our network and support growth opportunities. At the same time, free cash flow increased by 73.9% to N712.7 billion, reflecting strong earnings, disciplined capital allocation and improved operating cash generation, further enhancing our ability to sustain shareholder returns.

In line with this performance, the Board has approved an interim dividend of N26 per share, payable from the net distributable income, subject to applicable withholding tax. The dividend will be paid on 7 September 2026 to shareholders whose names appear in the register of members as at the qualification date of 20 August 2026.

Beyond delivering strong operational performance, we invested N1.4 billion through our Foundation in initiatives that advance digital inclusion, youth empowerment and national development. We also contributed N622.6 billion in taxes and levies to the government to support economic growth. These reflect our commitment to creating shared value and driving sustainable impact in the communities we serve.

Looking ahead, our focus remains on sustaining service revenue growth, protecting margins within our guidance framework, improving customer experience, accelerating disciplined home broadband execution and strengthening fintech performance. We remain confident in the long-term structural opportunity in Nigeria and will continue to execute with discipline to create sustainable value for all stakeholders."



Financial highlights

Items (In millions)	H1 2026	H1 2025	YoY	Q2 2026	Q2 2025	YoY
Total Revenue	2,993,064	2,377,752	25.9%	1,494,742	1,319,778	13.3%
Service Revenue	2,974,755	2,362,378	25.9%	1,485,738	1,312,642	13.2%
Data	1,702,944	1,230,548	38.4%	875,791	701,108	24.9%
Voice	993,462	887,131	12.0%	494,361	479,719	3.1%
Digital	58,546	48,439	20.9%	29,268	22,313	31.2%
Fintech	77,173	83,187	(7.2%)	12,985	47,105	(72.4%)
Other Service Revenue	142,630	113,073	26.1%	73,332	62,397	17.5%
Non-Service Revenue ¹	18,309	15,374	19.1%	9,004	7,137	26.2%
Other Income	-	1,622	(100.0%)	-	1,622	(100.0%)
Expenses	(1,319,544)	(1,177,145)	(12.1%)	(649,519)	(611,917)	(6.1%)
Cost of Sales	(376,096)	(329,606)	(14.1%)	(180,425)	(173,062)	(4.3%)
Operating Expenses	(943,449)	(847,539)	(11.3%)	(469,095)	(438,855)	(6.9%)
EBITDA	1,673,519	1,202,229	39.2%	845,223	709,483	19.1%
EBITDA Margin	55.9%	50.6%	5.3pp	56.5%	53.8%	2.7pp
Depreciation & Amortisation	(406,963)	(309,406)	(31.5%)	(210,972)	(159,380)	(32.4%)
Net Finance Costs	(211,332)	(265,331)	20.4%	(92,144)	(130,786)	29.5%
Net foreign exchange Gain/(Loss)	36,362	(5,230)	795.3%	3,058	295	936.6%
Profit before Tax	1,091,586	622,262	75.4%	545,165	419,613	29.9%
Taxation	(384,045)	(207,406)	(85.2%)	(193,125)	(138,440)	(39.5%)
Profit after Tax	707,541	414,856	70.6%	352,040	281,173	25.2%
Capital Expenditure	795,590	986,116	(19.3%)	349,189	549,744	(36.5%)
Capital Expenditure excluding Right of Use Assets	620,506	613,136	1.2%	230,225	410,719	(43.9%)
Capex Intensity excluding Right of Use Assets	20.7%	25.8%	(5.1pp)	15.4%	31.1%	(15.7pp)
Free Cash Flow	712,718	409,840	73.9%	350,233	199,973	75.1%
Mobile Subscribers	92.2	84.7	8.9%	92.2	84.7	8.9%
Data Subscribers	55.7	51.0	9.3%	55.7	51.0	9.3%
MoMo Wallets	5.0	2.7	88.8%	5.0	2.7	88.8%

¹Includes revenue from the sale of devices and SIM cards

Segment performance

Revenue performance across our segments reflected strong underlying demand, disciplined commercial execution and continued customer adoption of data and digital services. The resilience of our core business, together with targeted commercial initiatives, helped contain the impact of the temporary suspension of airtime and data credit service and supported continued growth during the period.

Data revenue increased by 38.4%, supported by growth in active data users, higher smartphone penetration and sustained demand for high-speed connectivity. Network data traffic rose by 25.8%, while average usage per subscriber increased by 15.2% to 14.8GB, reinforcing the depth of demand and the importance of continued capacity investment. With smartphone penetration at 66.4%, data remains our largest structural growth opportunity.

Home broadband remains a strategic growth platform and a key part of our long-term fixed connectivity opportunity. We are scaling the business in a disciplined manner, focusing on improving conversion and enhancing customer value while demonstrating attractive unit economics over time. As demand for reliable, high-speed broadband continues to grow, our fibre-to-the-home (FTTH) and 5G fixed wireless access (FWA) position us well to drive broadband adoption and capture the significant long-term opportunity.

Voice revenue grew by 12.0%, demonstrating the resilience of the business despite evolving usage patterns and the continued shift towards data-led and OTT channels. Growth was supported by subscriber additions and value-led propositions.



Enterprise declined marginally by 0.4%, reflecting portfolio optimisation actions taken in Q1 to improve revenue quality and protect long-term value. With these actions largely embedded, we expect a return to growth, supported by resilient demand for connectivity, converged solutions and digital services.

Fintech revenue declined by 7.2%, impacted by the temporary suspension of airtime and data credit service, a significant contributor in the segment. However, the underlying mobile money business continued to progress, with revenue rising by approximately 132.0% and active wallets increasing by 1.3 million in H1 to 5.0 million.

We also continue to progress the structural separation of the fintech business following shareholder approval, subject to regulatory approvals. Once completed, the transaction is expected to improve balance sheet flexibility, reduce future funding obligations and allow MTN Nigeria to retain meaningful exposure to long-term fintech growth.

Our focus remains on building a stronger, more reliable and more relevant fintech platform for the Nigerian market. This involves improving platform stability, strengthening customer experience, deepening rural penetration and pursuing the right licensing pathway.

Financial review

Our strong financial performance reflects sustained revenue growth, disciplined cost management and continued operating leverage. Despite ongoing energy cost-related pressures, **operating expenses** (opex) increased by only 11.3%, benefiting from a stronger naira, VAT input claims and continued execution of our expense-efficiency programme. Combined with strong topline growth, this delivered a 39.2% increase in EBITDA and a 5.3pp expansion in EBITDA margin to 55.9%.

Depreciation and amortisation increased by 31.5%, primarily reflecting higher network investments and right-of-use assets. Underlying **net finance costs** declined by 20.4% due to lower borrowings, while a stronger and more stable naira resulted in a **net foreign exchange gain** of N36.4 billion compared with a net foreign exchange loss of N5.2 billion in H1 2025.

Importantly, we no longer have any outstanding foreign currency loans (December 2025: US\$105 million), significantly reducing FX sensitivity and strengthening our financial resilience.

These factors translated into stronger earnings and operating cash generation. **Free cash flow** increased by 73.9% to N712.7 billion, reflecting stronger earnings and disciplined capital allocation. Retained earnings increased by 98.1% to N793.1 billion, while shareholders' equity rose by 69.6% to N930.6 billion, despite the N314.6 billion final dividend paid in May 2026.

Capex excluding leases increased by 1.2%, with a capex intensity of 20.7%, reflecting targeted investment in network capacity and coverage, as well as home broadband expansion to support growing data demand. We expect capex intensity to moderate in the second half, consistent with our full-year capital allocation framework.

We closed the period with a positive net cash position of N116.3 billion, up 11.0% from December 2025, with net debt/EBITDA of negative 0.4x and interest cover of 96.7x. This strong liquidity position



and disciplined capital management provide flexibility to invest for growth, sustain shareholder returns and navigate a dynamic macroeconomic environment.

Our financial progress was further recognised through Agosto & Co.'s upgrade of MTN Nigeria's long-term credit rating to Aaa, the highest rating on its national scale, while maintaining a stable outlook. Together with our AAA rating from GCR, this affirms the strength of our balance sheet, disciplined capital management and improving financial resilience.

Outlook

We enter the second half with confidence in Nigeria's long-term structural growth opportunity, underpinned by rising data demand, further headroom for smartphone adoption, underpenetrated home broadband, accelerating enterprise digitalisation and the long-term potential of fintech as execution improves.

We remain focused on disciplined execution and strategic investment to sustain our market leadership. We will continue to invest in expanding network capacity, coverage and platform capabilities to meet the growing demand for connectivity and digital services, while maintaining a disciplined approach to capital allocation and returns. These investments are designed to strengthen customer experience, support long-term growth and reinforce our competitive position in an increasingly digital economy.

The temporary suspension of our airtime and data credit service weighed on fintech performance in Q2. With operations now recommenced, we expect activity levels to progressively ramp up through H2, supporting a stronger contribution from our fintech business over the remainder of the year.

We will continue to closely monitor developments in our operating environment, particularly energy costs, inflation, FX conditions, pricing behaviour and customer affordability. While diesel prices have moderated relative to prior peaks, energy costs remain an important consideration given their impact on network operating expenses.

Over the medium term, we remain focused on delivering service revenue growth of at least low-20% and EBITDA margin in the mid-to-high-50% range, while converting earnings growth into stronger cash flow, dividends and long-term shareholder value.

A handwritten signature in black ink, appearing to read "Karl Olutokun Toriola".

Karl Olutokun Toriola
Chief Executive Officer



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About MTN Nigeria

MTN Nigeria is one of Africa's largest providers of communications services, connecting over 92 million people in communities across the country with each other and the world. Guided by a belief that everybody deserves the benefits of a modern connected life, MTN Nigeria's leadership position in coverage, capacity, and innovation has remained constant since its launch in 2001. MTN Nigeria is part of the MTN Group - a multinational telecommunications group which operates in 19 markets in Africa and the Middle East, serving over 300 million people.

Visit www.mtn.ng for more information



Consolidated and separate statement of profit or loss				
	Group		Company	
	6 months ended 30 June 2026	6 months ended 30 June 2025	6 months ended 30 June 2026	6 months ended 30 June 2025
In millions of Nigerian Naira				
Revenue	2,993,064	2,377,752	2,984,741	2,375,820
Other income	-	1,622	-	1,622
Direct networking operating costs	(629,275)	(685,307)	(629,275)	(685,307)
Value added services	(24,482)	(25,600)	(24,478)	(25,600)
Cost of starter packs, handsets and accessories	(28,716)	(22,609)	(28,716)	(22,609)
Interconnect costs	(93,968)	(101,010)	(93,968)	(101,010)
Roaming costs	(5,311)	(6,001)	(5,311)	(6,001)
Transmission costs	(17,647)	(19,382)	(17,647)	(19,382)
Commissions	(142,745)	(109,929)	(140,234)	(109,925)
Advertisements, sponsorships and sales promotions	(35,124)	(20,614)	(32,304)	(19,517)
Employee costs	(135,645)	(54,683)	(129,872)	(52,826)
Impairment of financial assets	(16,589)	(3,114)	(33,495)	(3,073)
Other operating expenses	(190,042)	(128,895)	(186,383)	(189,605)
Depreciation of property and equipment	(218,854)	(140,731)	(218,854)	(140,731)
Depreciation of right of use assets	(140,439)	(126,646)	(140,439)	(126,646)
Amortisation of intangible assets	(47,671)	(42,030)	(46,917)	(41,276)
Operating profit	1,266,556	892,823	1,256,848	833,934
Finance income	46,797	14,414	43,188	9,431
Finance costs	(258,129)	(279,745)	(257,658)	(279,135)
Net foreign exchange gain/(loss)	36,362	(5,230)	36,211	(5,247)
Profit before taxation	1,091,586	622,262	1,078,589	558,983
Tax (expense)/credit	(384,045)	(207,406)	(384,045)	(207,323)
Profit for the period	707,541	414,856	694,544	351,660
Earnings/(loss) per share - basic/diluted (N)	33.76	19.80	33.14	16.78

Consolidated and separate statement of other comprehensive income				
	Group		Company	
	6 months ended 30 June 2026	6 months ended 30 June 2025	6 months ended 30 June 2026	6 months ended 30 June 2025
In millions of Nigerian Naira				
Profit for the period	707,541	414,856	694,544	351,660
Items that may be reclassified to profit or loss, (net of taxation):				
Fair valuation (loss)/gain on investments at FVOCI (a)	(4)	151	(46)	157
Other comprehensive (loss)/income for the period; net of taxation	(4)	151	(46)	157
Total comprehensive income/(loss)	707,537	415,007	694,498	351,817
(a) Fair valuation gain or loss on investments designated at fair value through other comprehensive income (FVOCI) relates to Federal Government treasury bills and bonds investments and its recognised net of tax (except for Federal Government bonds).				



Consolidated and separate statement of financial position for the six months ended 30 June 2026				
	Group		Company	
In millions of Nigerian Naira	30 June 2026	31 Dec 2025	30 June 2026	31 Dec 2025
Assets				
Non-current assets				
Property, plant and equipment	2,217,669	1,853,524	2,217,669	1,853,524
Right-of-use assets	1,751,521	1,716,877	1,751,521	1,716,877
Intangible assets	413,091	421,410	410,782	418,347
Investments in subsidiaries	-	-	75,386	45,386
Other non-current investments	21,002	17,812	9,693	6,251
Deferred tax assets	141,711	93,629	141,694	93,612
Other non-current assets	86,853	46,149	86,853	46,149
	4,631,847	4,149,401	4,693,598	4,180,146
Current assets				
Inventories	39,381	23,298	39,379	23,298
Trade and other receivables	369,515	397,029	383,329	433,716
Current investments	415,250	162,255	343,532	116,893
Restricted cash	56,840	37,707	56,640	37,507
Cash held for MoMo customer	1,224	1,298	-	-
Cash and cash equivalents	458,930	632,501	457,280	630,219
	1,341,140	1,254,088	1,280,160	1,241,633
Total assets	5,972,987	5,403,489	5,973,758	5,421,779
Equity and liabilities				
Equity				
Share capital	420	420	420	420
Share premium	166,362	166,362	166,362	166,362
Other reserves	(14,435)	(14,431)	(31,922)	(31,876)
Shares held for employee share scheme	(14,813)	(4,041)	(14,813)	(4,041)
Retained profit	793,071	400,402	837,521	457,570
	930,605	548,712	957,568	588,435
Liabilities				
Non-current liabilities				
Borrowings	262,366	419,572	262,366	419,572
Lease liabilities	2,106,761	2,117,047	2,106,761	2,117,047
Provisions	25,744	52	25,744	52
Share based payments liability	58,501	44,354	58,501	44,354
Employee benefits	15,395	13,699	15,395	13,699
Other non-current liabilities	12,368	11,634	2,775	2,354
	2,481,135	2,606,358	2,471,542	2,597,078
Current liabilities				
Trade and other payables	1,247,596	1,317,659	1,249,629	1,319,134
Borrowings	80,225	108,097	80,225	108,097
Lease liabilities	328,368	269,182	328,368	269,182
Contract liabilities	150,610	138,138	150,610	138,138
Current tax payable	640,371	355,175	639,960	354,801
Provisions	87,208	39,177	85,218	37,545
Derivatives	-	2,224	-	2,224
Deposit held for MoMo customers	14,032	9,842	-	-
Employee benefits	9,610	6,003	9,610	6,003
Other current liabilities	3,227	2,922	1,028	1,142
	2,561,247	2,248,419	2,544,648	2,236,266
Total liabilities	5,042,382	4,854,777	5,016,190	4,833,344
Total equity and liabilities	5,972,987	5,403,489	5,973,758	5,421,779



Consolidated and separate statement of cash flows				
	Group		Company	
	6 months ended 30 June 2026	6 months ended 30 June 2025	6 months ended 30 June 2026	6 months ended 30 June 2025
In millions of Nigerian Naira				
Cash flows from operating activities				
Cash generated from operations	1,868,232	1,238,834	1,883,661	1,222,183
Interest received	34,188	10,790	31,634	9,756
Finance cost paid	(220,481)	(272,395)	(220,481)	(272,395)
Tax paid	(146,984)	(21,546)	(146,875)	(21,546)
Net cash generated from operating activities	1,534,955	955,683	1,547,939	937,998
Cash flows from investing activities				
Acquisition of property and equipment	(763,852)	(382,466)	(763,852)	(382,466)
Acquisition of right of use assets	(5,991)	(97,210)	(5,991)	(97,210)
Acquisition of intangible assets	(31,228)	(59,803)	(31,228)	(59,803)
Proceeds from disposal of property and equipment	1,610	1,416	1,610	1,416
Purchase of investment in non-current FCN bonds	(6,328)	(5,308)	(5,900)	-
Sale of investment in non-current FCN bonds	2,965	-	2,107	-
Purchase of bonds, treasury bills and foreign deposits	(454,099)	(173,440)	(302,885)	(75,290)
Sale of bonds, treasury bills and foreign deposits	214,252	108,287	80,945	47,411
Purchase of contract acquisition costs	(6,254)	(5,472)	(6,254)	(5,472)
Increase in restricted cash	(18,923)	(9,444)	(18,923)	(9,444)
Prepaid road investment tax credit cost	(40,197)	(19,345)	(40,197)	(19,345)
Additional investments in subsidiary	-	-	(30,000)	-
Net cash flows used in investing activities	(1,108,045)	(642,785)	(1,120,568)	(600,203)
Cash flows from financing activities				
Proceeds from borrowings	-	29,755	-	29,755
Repayment of borrowings	(176,345)	(192,788)	(176,345)	(192,788)
Repayment on lease liabilities	(89,653)	(147,312)	(89,653)	(147,312)
Dividend paid	(314,593)	-	(314,593)	-
Payments to the Ericsson Wallet Platform (EWP) liability	(158)	(73)	-	-
Additional shares purchased for employee share scheme	(16,965)	(509)	(16,965)	(509)
Net cash flows used in financing activities	(597,714)	(310,927)	(597,556)	(310,854)
Net increase/(decrease) in cash and cash equivalents	(170,804)	1,971	(170,185)	26,941
Cash and cash equivalent at the beginning of the period	632,695	253,409	630,334	232,832
Effect of exchange rate fluctuations on cash held	(2,557)	2,219	(2,479)	2,088
Cash and cash equivalents at the end of the period	459,334	257,599	457,670	261,861